



Swiggy Instamart was launched in August 2020. It's an on-demand grocery delivery service that uses a network of dark stores and advanced logistics to offer rapid delivery of everyday essentials.

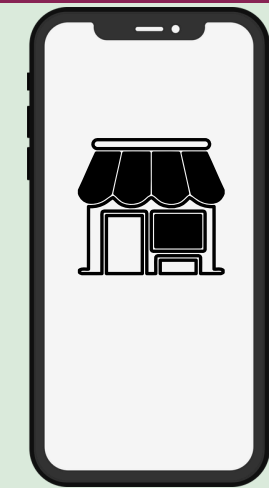
Objective:

As a Product Manager of Swiggy Instamart's Growth Team. The objective is to increase the Gross Order Value (GOV) throughput per store

A user places the order on the App - 0Min



THE ORDER FLOW



The order is immediately displayed on a screen in the dark store

The dark store employee packs the order 1-10min



Delivery Partner reaches the dark store - 3min

Order is delivered (depending on traffic) within 10min

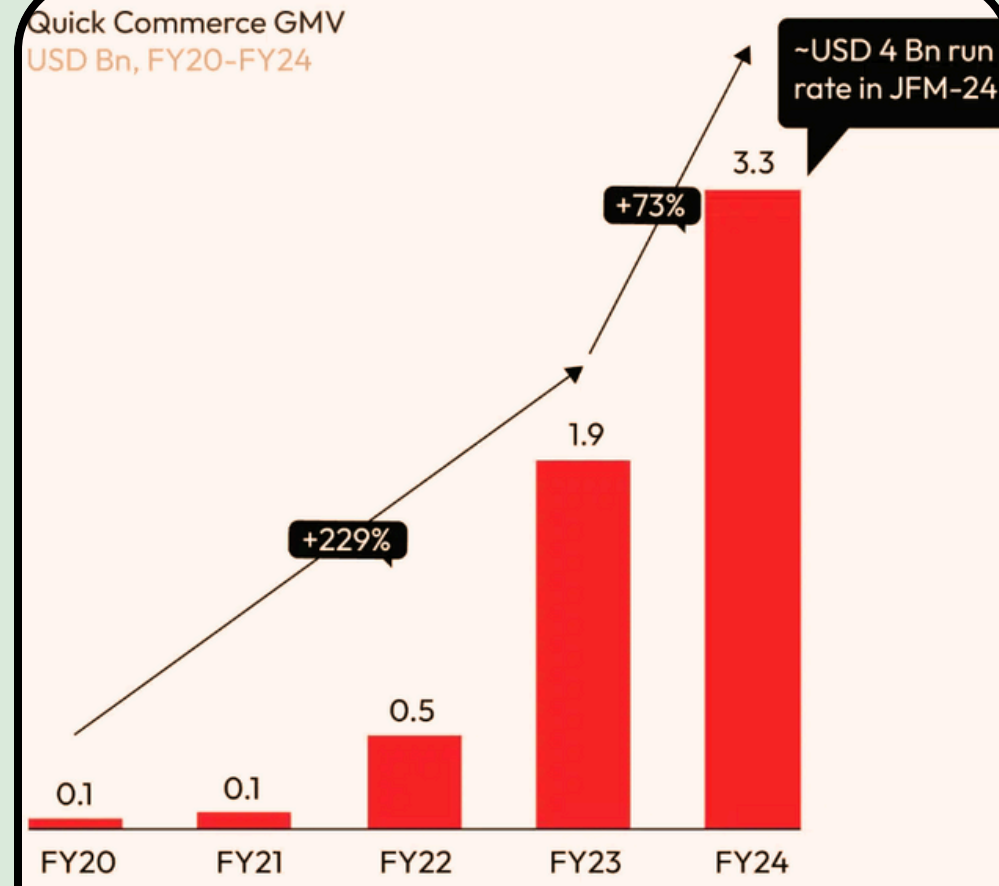


Quick Commerce

Quick Commerce, commonly called Q Commerce, is an innovative retail model emphasising speed and convenience in delivering goods.



Quick Commerce GMV USD Bn, FY20-FY24



Note(s): Gross GMV at selling price, excluding delivery fee, 1 USD = INR 80
Source(s): Redseer IP

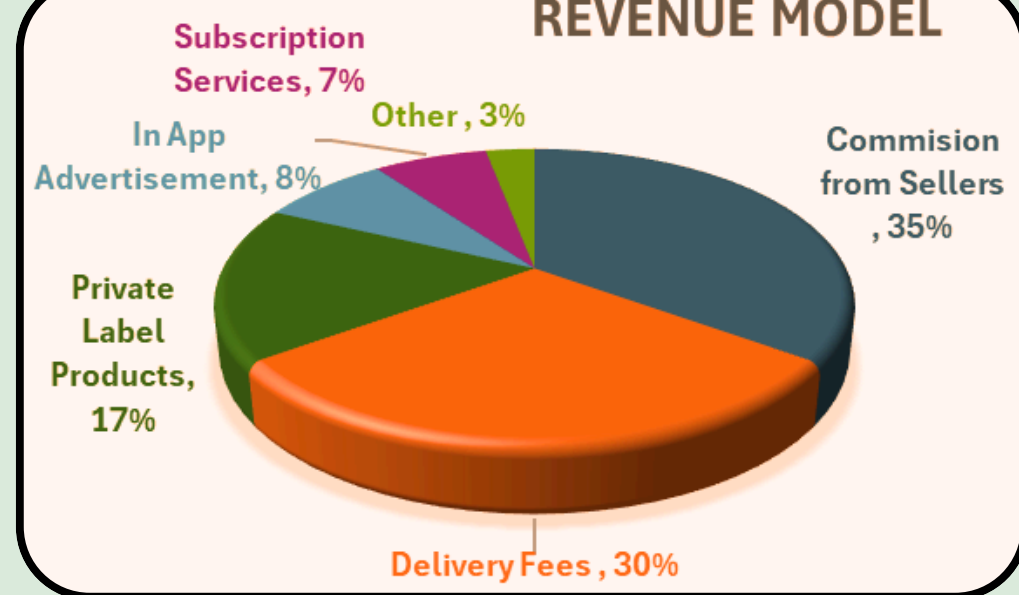
Swiggy Instamart Numbers

- 500,000 Orders per day
- 25+ Cities
- 523 Dark Stores
- 20-30 Cr GOV
- 15-20 Min Deliv time

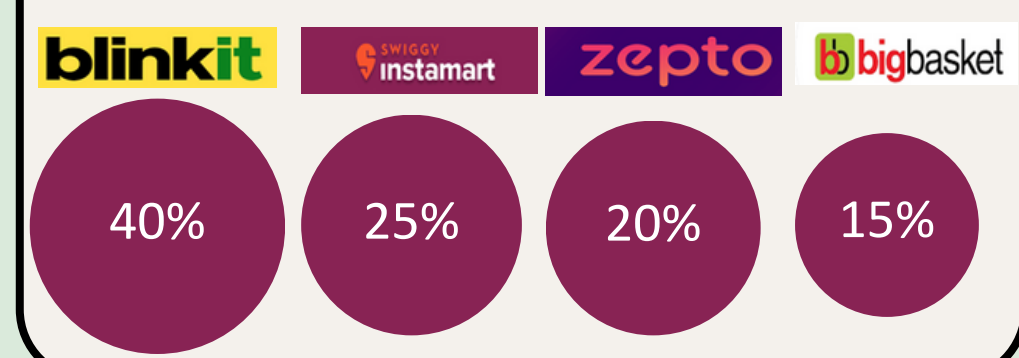
Key Components

- Q commerce
- Dark Stores
- Advanced Algorithms
- Local Partnerships
- Real time Inventory Mgmt

REVENUE MODEL



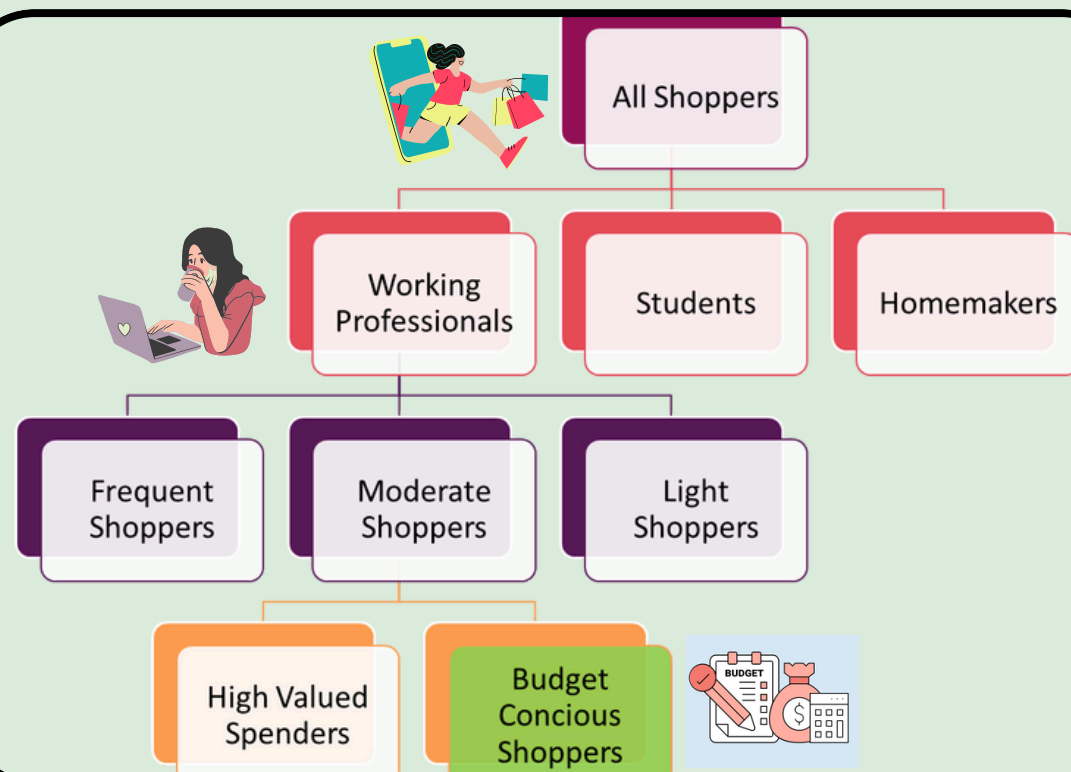
Market Share



Competitor Analysis

	zepto	blinkit	SWIGGY instamart	b bigbasket
Delivery Time	10-15 min	10 -20 min	15-30min	15-30min
Handling Fee	6Rs	2Rs	6Rs	6Rs
Price Sensitivity	High	High	High	Medium-High
Dark Stores	400	526	523	340
Cities	7	26	25	20
AOV	450-600	635	500-550	500
SKU's	6k	8-9k	5-6k	3k
Loyalty Points	No	No	No	Yes
Delivery Fee (approx.)	25 before 99 0 above 99	25 before 99 0 above 99	30 before 149 16 above 149	25 befor 99 9 before 299 0 above 299

Target User Segments



Why Budget Concious Shoppers ?

- **Challenge** - High delivery fees and prices for lower cart value
- **Opportunity** - Growing segment and changing their behaviour can boost GOV significantly

Constraints

Dark Store

- Maximum orders that can be processed through the store
- Storage Capacity
- Store Employee

Delivery Partner

- Maximum number of deliveries in a day
- Max Volume capacity of delivery items

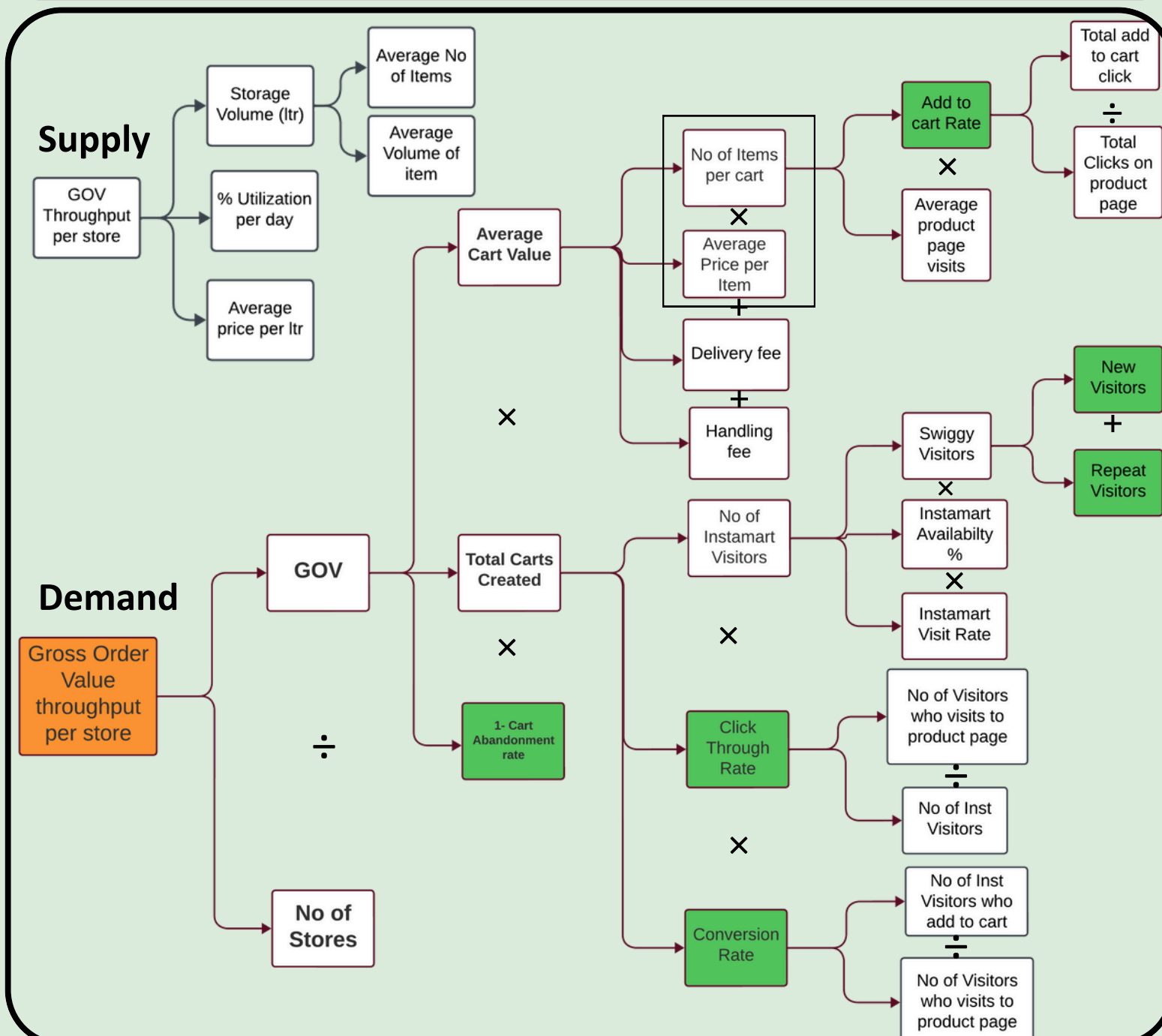
Users

- Max qty for an item
- Total Volume of the cart in Kgs

Hypothesis

Users find it difficult to place orders because of high delivery fees and prices. Often, the total cart value becomes too expensive once all the charges are included.

Mapping Business Outcome to Product Outcomes



Business Opportunities for Actors

- **Dark Stores:** Fixed costs like rent are spread across more orders, reducing per-order costs.
- **Employees:** Bonuses may be offered for processing higher order volumes within set timeframes.
- **Delivery Personnel:** Optimized routes enable faster deliveries, with potential bonuses for completing more orders quickly.
- **FMCG Brands & Partnerships:** Increased order volume strengthens relationships with FMCG brands, leading to better product flow and more discounts for customers.

User Research and Analysis

A Survey was carried out where 34 users responded

59 % were Millenials

70 % had AOV of 200-500

77% lived in tier 1 cities

63% had 8-10 orders a month

80 % Working Proffesionals

53% preffered faster delivery

77% had Subscriptions

65% ordered fresh produce

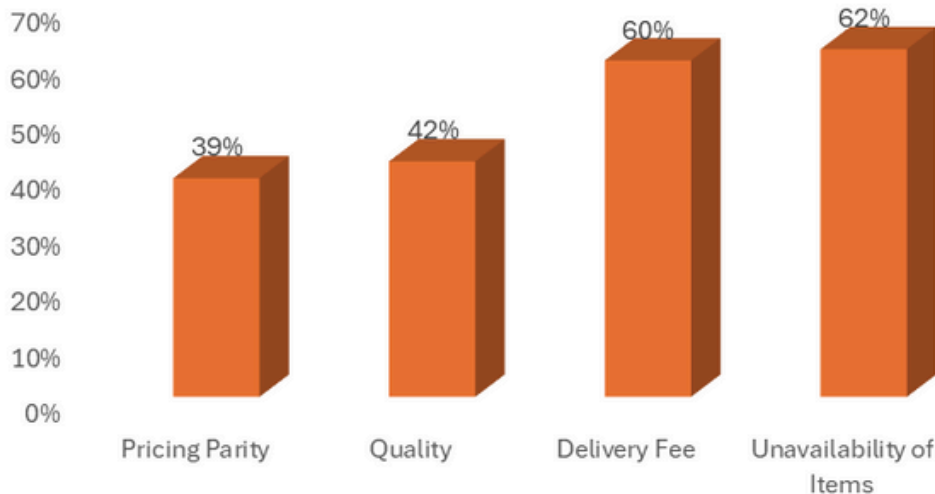
1:1 Interviews (5)

- Most of the users conveyed that they try to add the items to the cart to meet the minimum amount for free delivery.
- In such cases 5-6 times out of 10 times they abandon their cart as they have nothing else to add.
- They don't understand why various fees apply even when they have a premium membership, believing that delivery fees should be included in their subscription.
- The discounts or loyalty points they receive are minimal compared to the higher prices of certain categories, like fresh foods.
- At times, they end up paying more because the quantity they need isn't available.

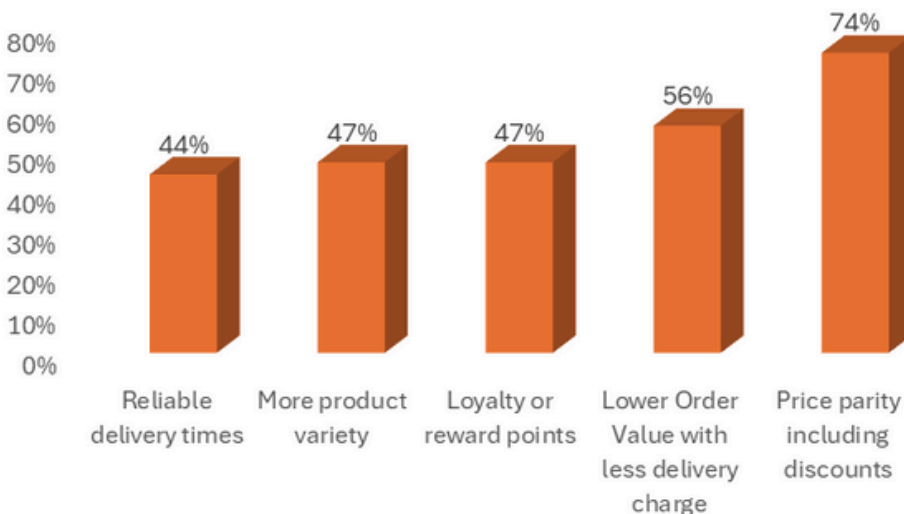
Observations

- Delivery fees are crucial in determining cart abandonment or completion.
- Discounts or loyalty points only influence behavior if they are substantial.
- 80% of users compare cart value with competitors or market prices.
- Users are more likely to buy more if they perceive better prices on the platform.
- Users feel deceived when extra costs are added after cart creation.

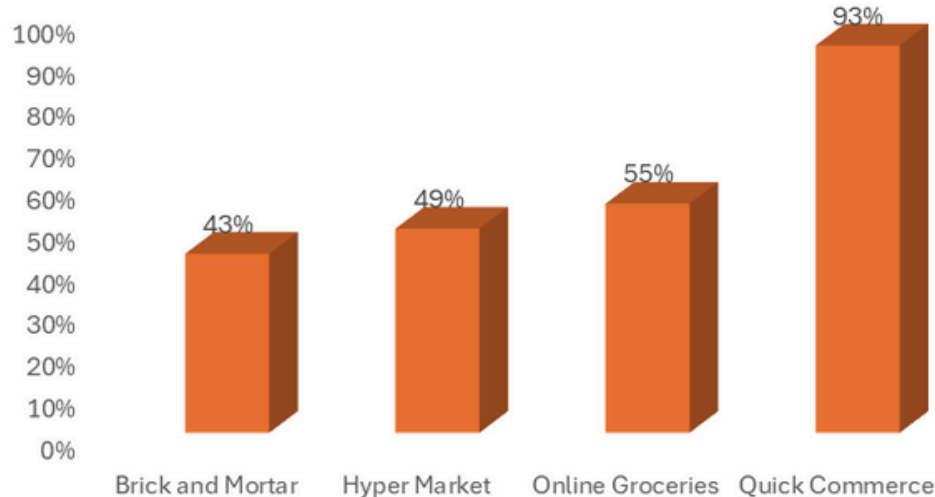
User Pain Points



User need



Other Competitors



Impact Analysis

Visitors	8mn
% Working proffesional	80%
% Moderate Budget Concious	40%
Average Order Value	250 Rs
CTR	95%
Conversion Rate	90%
1- CAR	40%
Avg Carts in Month	15
Total Stores	253
GOV/Store	62,77,629

*CAR = Cart Abandonment Rate CTR - Click Through Rate\

The values are assumption based and guesstimated

If we increase the 1 - CAR by 10%

- That is increasing 1.5 orders per month
- Will generate Gov througput per store of

78,47,036

1- CAR
10%



GOV
25%

Or if we convert 2% of moderate budget concious user to frequent user the GOV throughput per store increases by 1.7%

Who is facing the problem ?

Working professionals who are budget conscious shoppers and tend to order limited items based on the needs

Why is this a real problem

User Survey Findings:

- 62% face challenges with high delivery charges.
- 56% would order more with reduced delivery fees.
- 80% find cart prices higher than local stores for vegetables and groceries.
- 53% prefer local stores for the ability to bargain.

Secondary Research Insights:

- 49% abandon purchases due to high delivery charges.
- High fees are seen as less valuable compared to lower total costs elsewhere.
- Only 7% prefer online purchases for fruits and vegetables; 66% favor local or weekly markets.

What is the true problem ?

Price Sensitivity in the overall cart value is true problem

- **Delivery fees is High**
 - a. for Low cart value
 - i. It is a Psychological barrier
 - ii. For low price cart delivery fee looks like a big incremental value
 - iii. There is no min order on local store
- **Item Prices are high**
 - b. for Fresh fruits and vegetables
 - i. Mental Anchoring of price with market
 - ii. Cost of convenience

Why should we solve it now ?

Customer Retention Risks

- Customers expect low or no delivery fees from quick commerce platforms; failing to meet these expectations may drive them to competitors with lower fees.
- Delivery costs significantly impact repeat purchase behavior; customers prefer platforms with reasonable or free shipping options.
- Quick commerce platforms must justify their pricing with superior service quality and product availability.

What is the value generated by solving this problems ?

Shoppers

- **Frequent Small Orders:** Lower delivery fees let users shop without a minimum order requirement.
- **Increased Accessibility:** Reduced item prices and delivery fees encourage users to add more items without worry.
- **Time Savings:** Competitive pricing enables users to spend less time comparing alternatives.

Swiggy Instamart

- **Higher Order Volume:** More frequent purchases and larger carts.
- **Stronger Loyalty:** Improved customer retention and reduced churn.
- **Competitive Edge:** Better market positioning.
- **Operational Efficiency:** Optimized dark store usage, lowering costs.

How does our persona looks likes ?

Jitesh



Needs

- Budget friendly options - Affordable and competitive prices with market for fresh produce and fruits
- No hidden and added charges

Pain Points

- Income fluctuations - Tries to stick to the budget for groceries and essentials each month
- App Offers - Often feels offers are not tailored to his needs

Demographics & Behaviours

- Age 26 and lives in Pune
- Lives with flatmates
- Freelancer
- Orders to maintain healthy diet in fixed budget
- Buys small quantities of fresh produce

Ritika



Needs

- Affordability - Seeks best value for essentials, free delivery is a deal maker
- Efficient Delivery - Medium to Fast delivery , orders frequently

Pain Points

- Discount on essentials- Needs promotion or offers on basic items
- Convenient delivery options: Flexible delivery times and reduced fees during late night small orders once in a while

Demographics & Behaviours

- Age 32 and lives in Bangalore
- Lives with Family
- Working HR
- Orders primarily when needed, focused
- Regularly compares prices

How does the user journey for Jitesh looks like ?

Phase	Discovery & Awareness	Comparison & Consideration	Decision Making	Purchase Checkout	Post Purchases Engagemnt
Actions	- Identify what is needed urgently - Look for suitable option to cater the need	- Check item and prices for groceries & needs - Compare them across platform or markets	- Add all the items to the cart - Check the overall order value - Check for free delivery, discounts or offers	- Complete the checkout via preffered payment method - Or Abandon the cart - Check offers on payment options	- Track and get the order delivered - Check the items and quality
Emotions					
Thoughts	- What is finished at home which is urgently needed - Call the maid aunty and ask her of the needed items	- The item price is high/low as compared to the market let me add/remove from the cart - Is the tradeoff for the item worthy enough for me or I can save on it by buying later	- The cart value is not enough for free delivery should I add more Items to avoid delivery fee ? - I am not determined to add items as price are higer and I am not getting delivery fee waiver so lets call it off	- Should I make the payment and order the items ? - Is there anything urgent left to be added - Can I save on overall order somewhere ?	- Will I recieve the order in time ? - The quality of the items would be good or not - I should have bought it from market
Touchpoints					



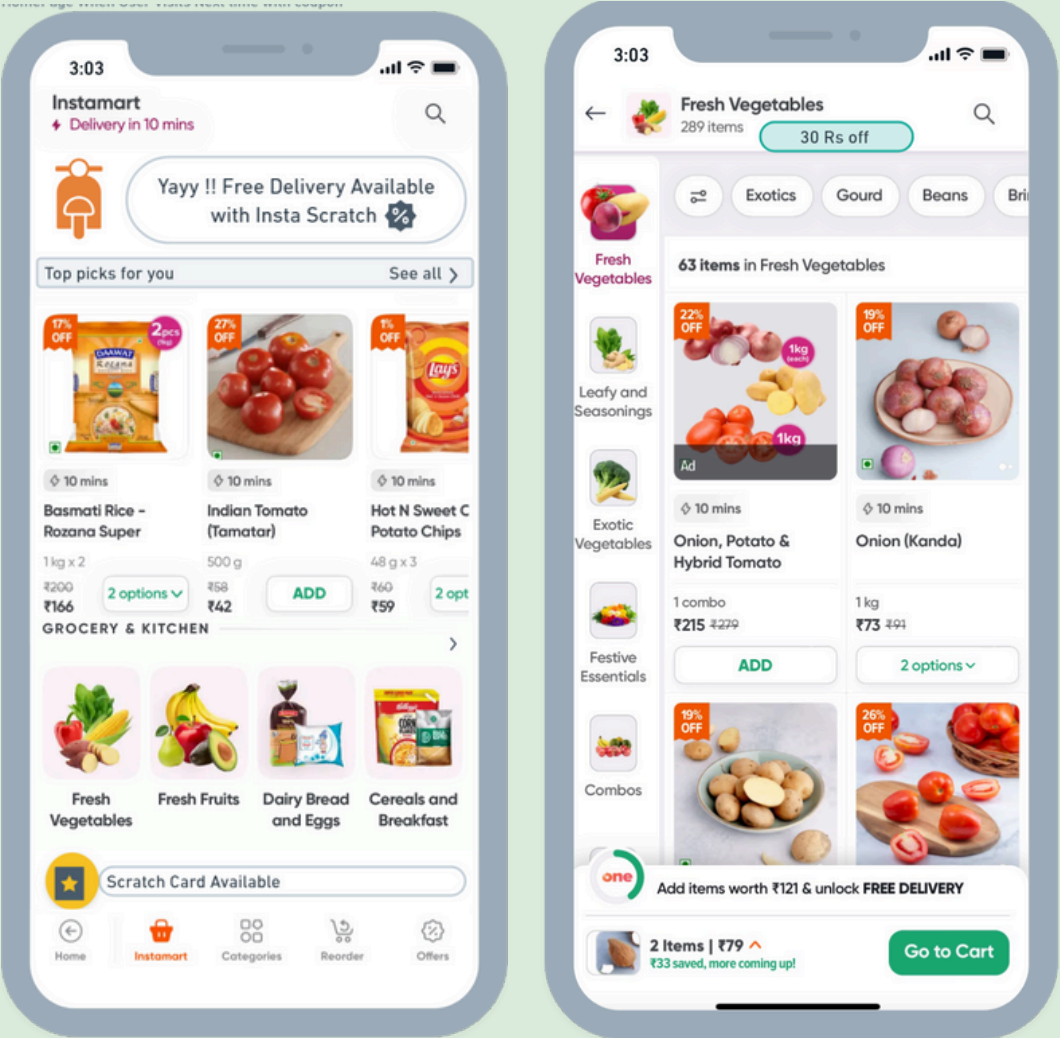
- **Mystery Hours: Mystery Hours:** Inspired by receiving extra free Alphonso mangoes, this offers users exceptional discounts, free items, or lower prices on fresh produce for a limited hour, starting with premium users. It may include an AI assistant for dynamic pricing.
- **The Discount/Category Discount Scratch Cards (Insta-Scratch):** Inspired by the Paytm app, reward users with scratch cards for exceeding average order values, providing free delivery or category discount coupons.
- **Multiple Price Cart Value:** This was inspired by Swiggy and user research, allow users to choose between delivery speed and fee, offering flexibility in payment options.

Factor	Weightage	Mystery Hours	Insta-Scratch	Multiple Price based cart value options
Impact	30%	High(4)	High(5)	High(5)
Long Term Value	10%	Medium(3)	High(4)	High(5)
Usability	15%	High(5)	High(5)	High(4)
Confidence	25%	Medium(3)	High(5)	High(4)
Effort	20%	High(5)	Low(1)	Low(1)
Score	I*L*U*C/E	4.25	19.5	18

- ### How will this solution work for users?
- Users will receive a free delivery or category-based coupon after spending above the average order value or in a category.
 - This directly resolves user pain point of high delivery charge or higher prices
 - It's a familiar feature from other apps, enhancing excitement and engagement by rewarding spending behavior, making users feel valued.
- ### How will this solution work for Swiggy Instamart ?
- The impact came from users placing an average of 1.5 additional orders. After 4-5 orders, they qualify for free delivery, which they may use on their 6th order, reducing cart abandonment and increasing Swiggy's GOV.
 - Additionally, category coupons can encourage users to shop when grocery prices feel high, prompting them to add more items to their carts and further increasing GOV

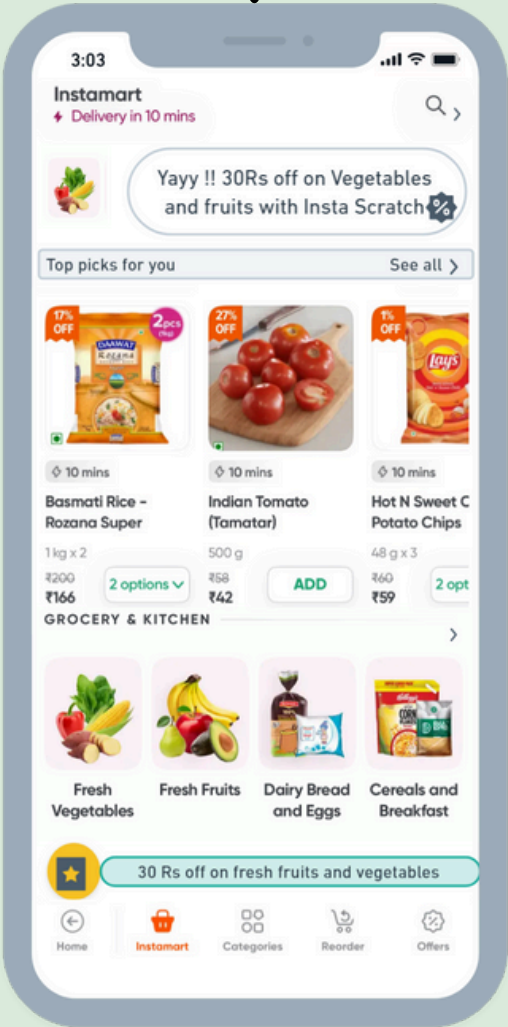
How does the Solution looks like on front end ?

Change in Instamart Home Page after Coupon



Change before order confirmation page after Insta- Scratch card

Change in Category List Page after recieving category coupon

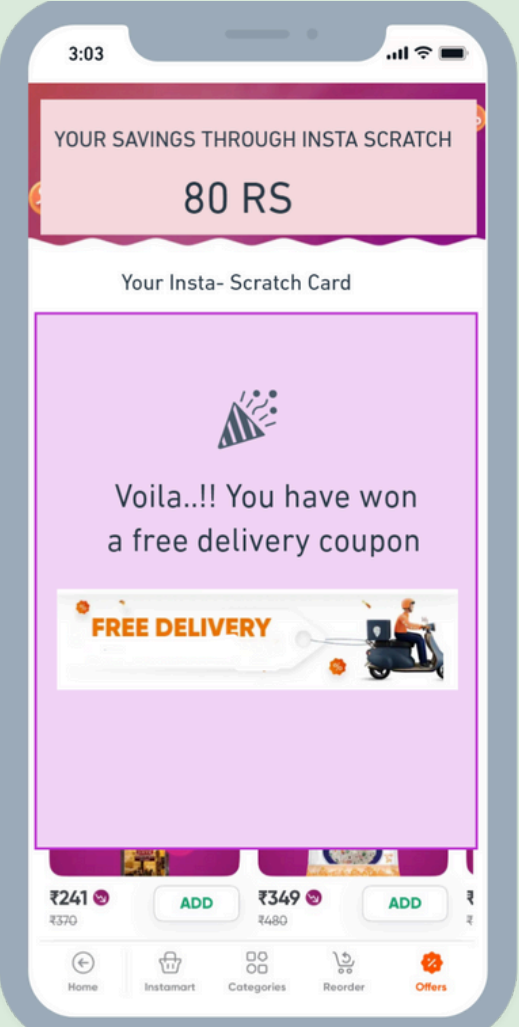
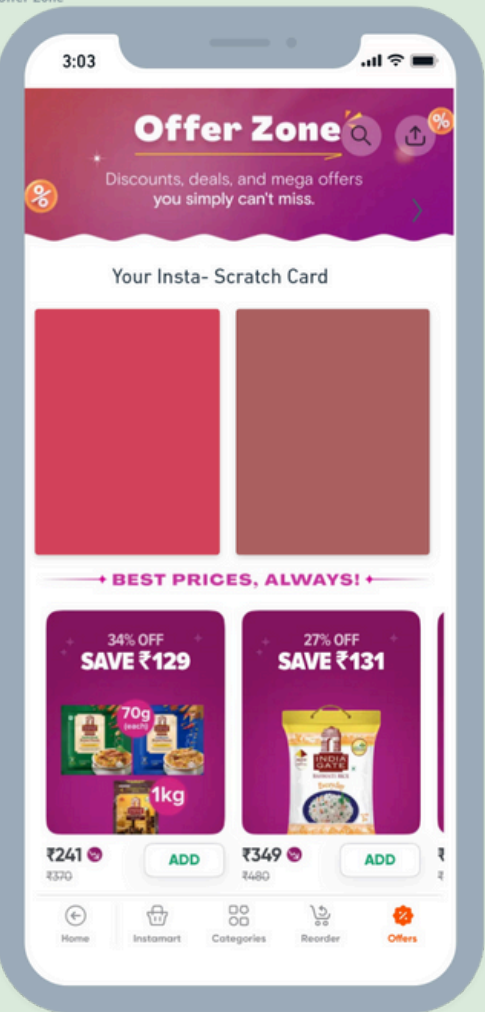
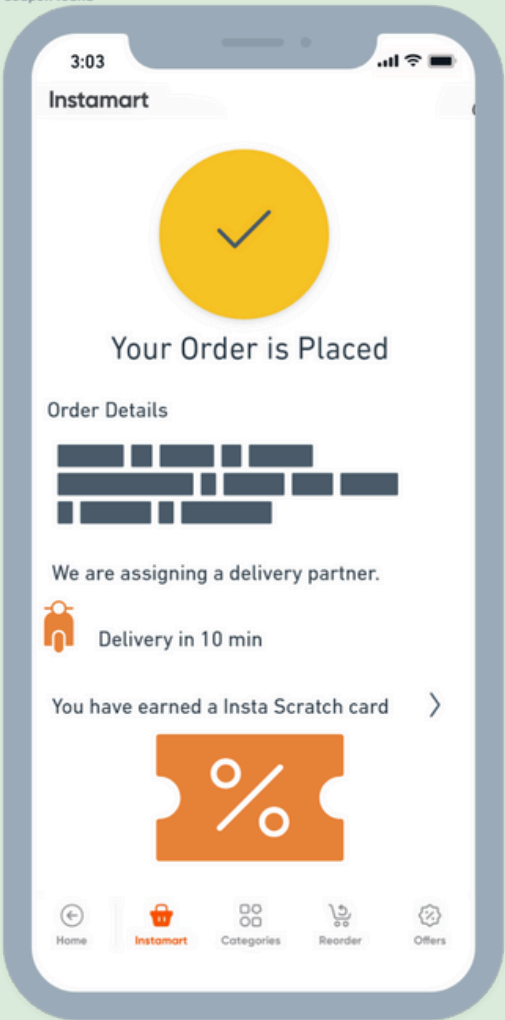
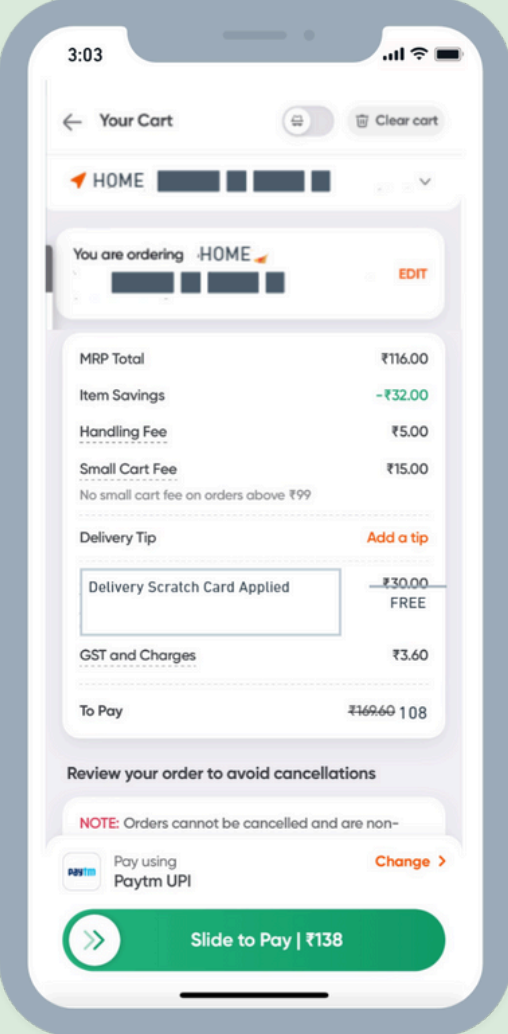
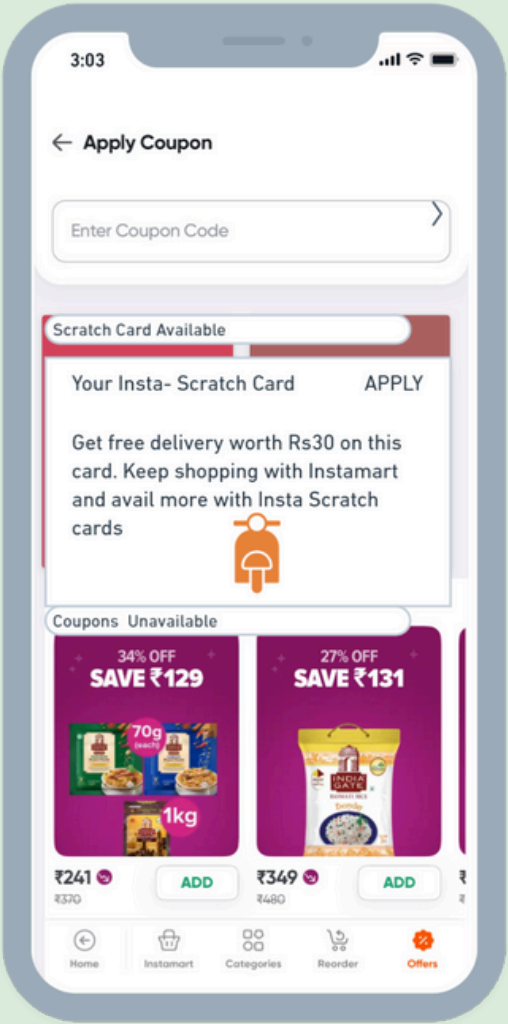
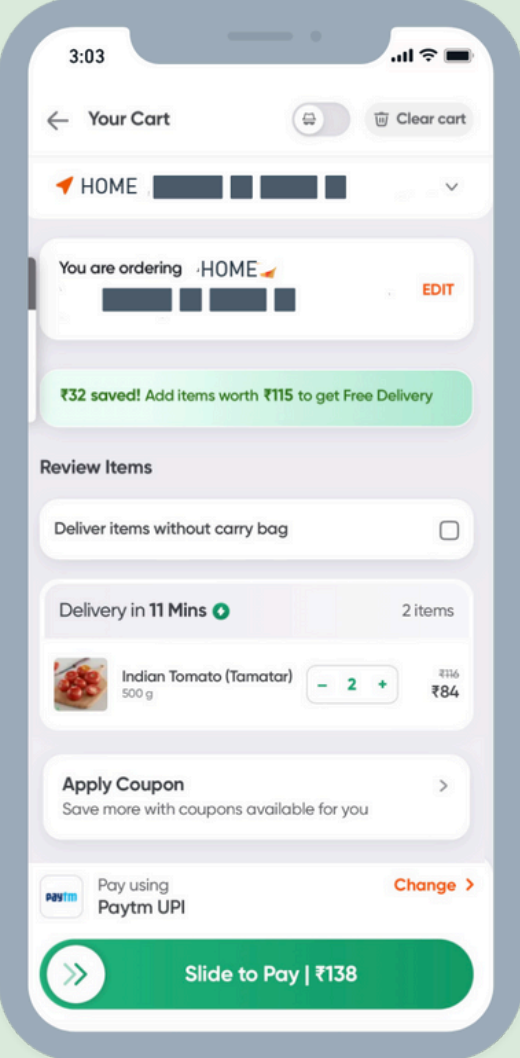


Whimsical Link

Key Features

- **Familiar Layouts and Minimal Changes**
 - Coupon Integration
 - Banners and Prompts
- **Modular Components**
 - Product Listing Page (PLP) Tags/Icons
 - Coupon Entry at Checkout

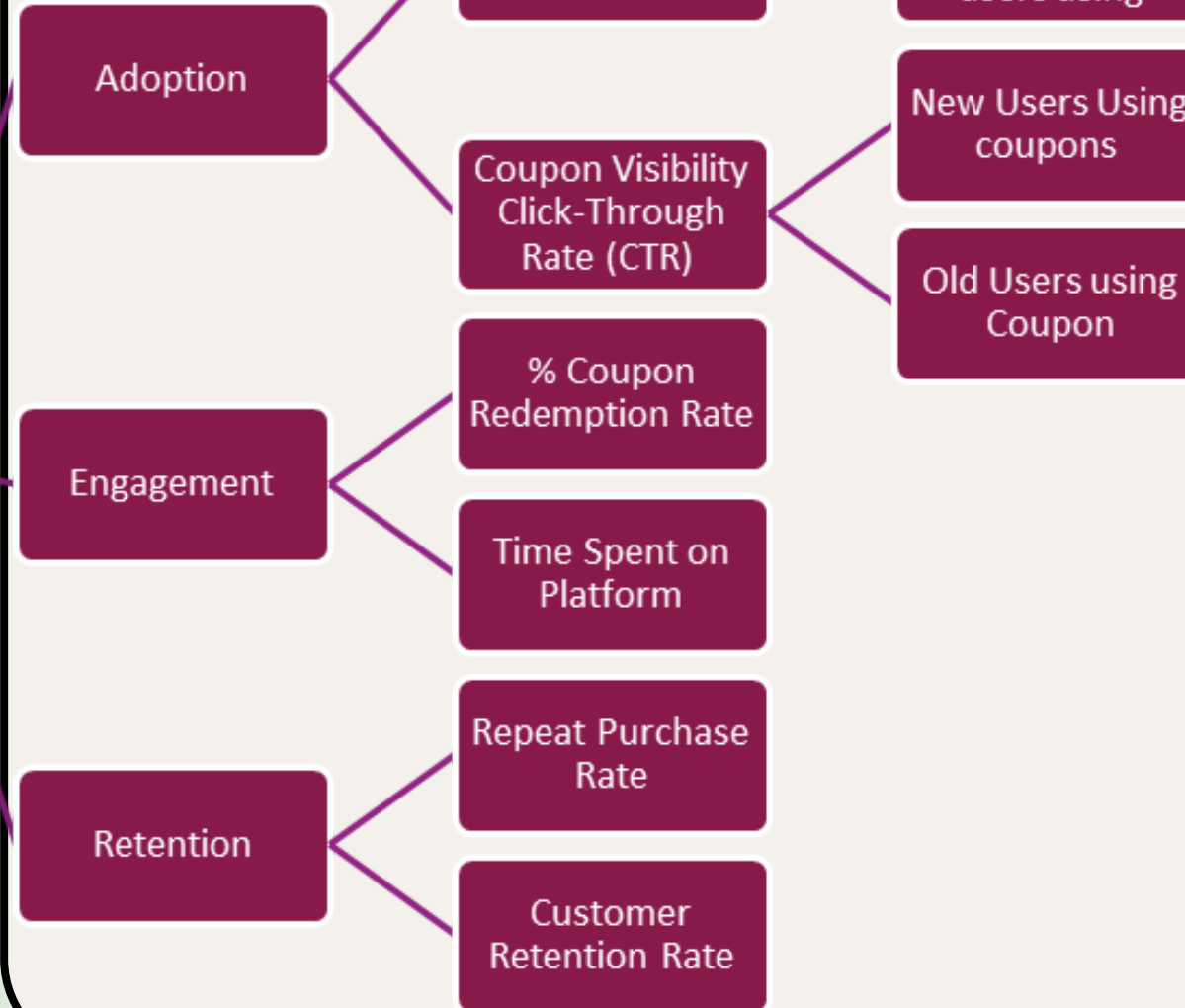
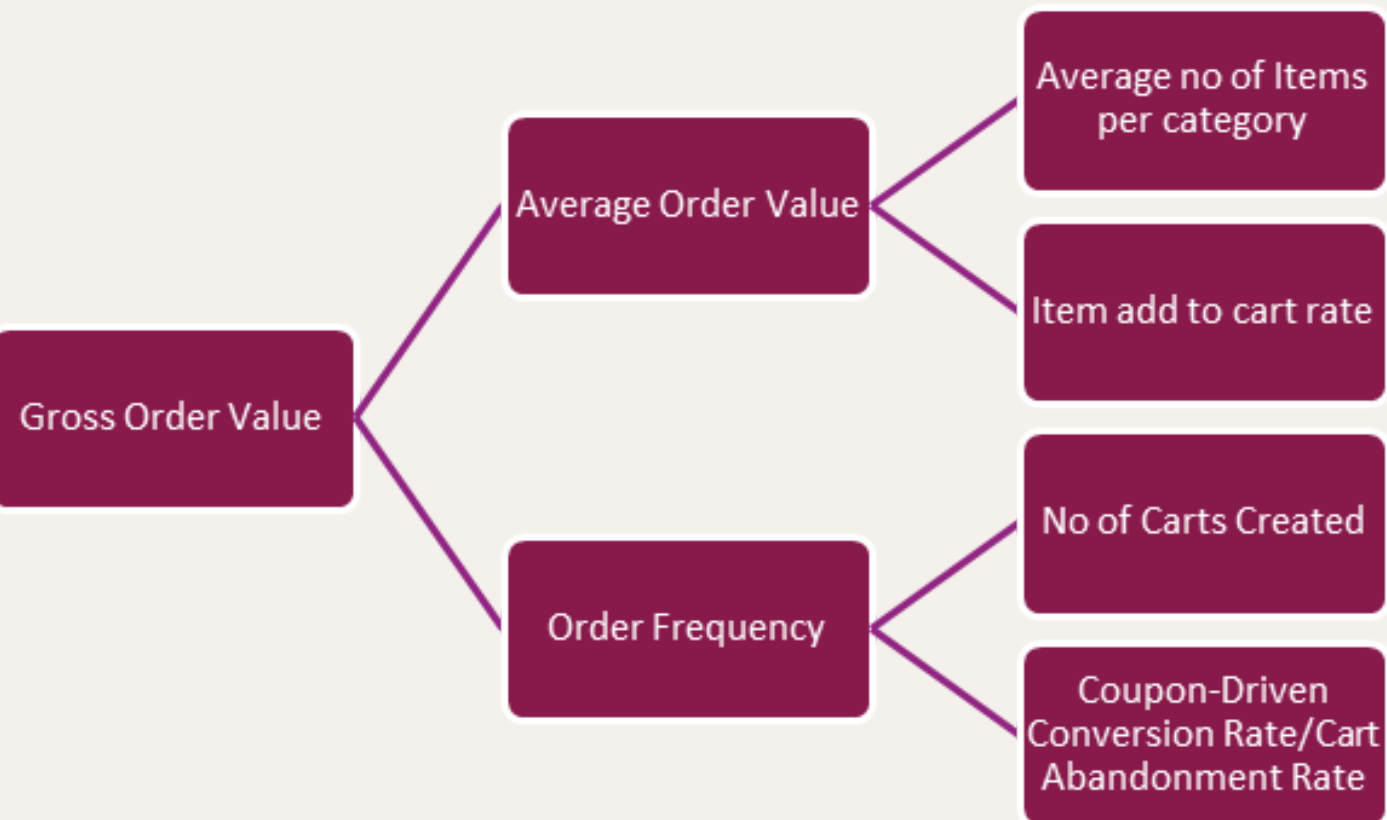
Change after order confirmation page before getting Insta-scratch



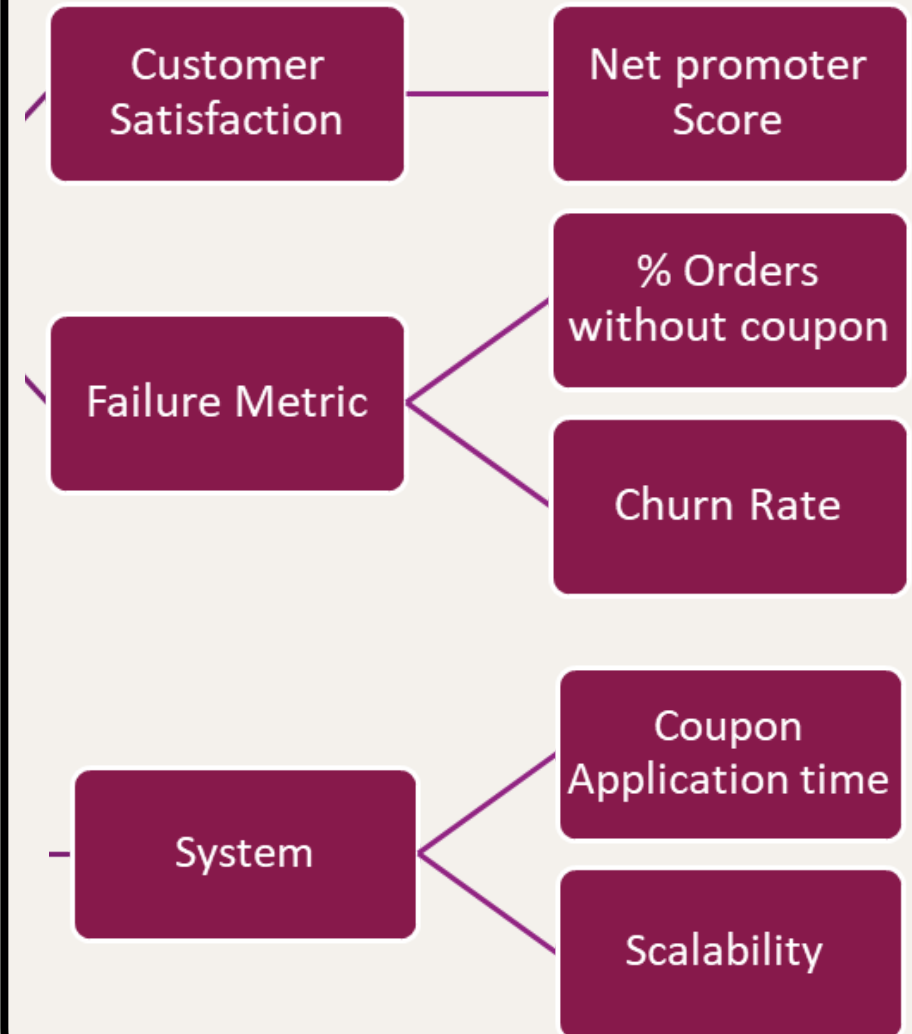
What are the Success Metrics to Guage ?

Business Metrics

Product Metrics



Other Metrics



How does these metrics help to evaluate the success of the solution ?

What could go wrong ?

- Customer may get dependent on discounts
- Competitors could replicate the coupon strategy
- GOV throughput per store goes beyond the capacity of store

- **Gross Order Value (GOV) and Average Order Value (AOV)** reflect the solution's ability to drive more frequent and larger purchases.
- **Cart abandonment rate and coupon-driven conversion rate** measure how effective the coupons are in converting users from browsing to checkout.
- **Adoption rates, coupon redemption, and time spent on the platform** indicate how well users engage with the coupon offerings.
- Customer satisfaction metrics, like **Net Promoter Score (NPS)** and **retention rates**, ensure the solution improves both sales and user experience.
- Failure metrics, such as the **percentage of orders without coupons and churn rate**, help identify weak points in the strategy.
- Non-functional metrics like **coupon application time and scalability** ensure the platform can efficiently handle increased traffic and demand.
- **Product metrics** focus on user engagement, retention, and the effectiveness of the solution in driving coupon adoption